

Module 11

Financial Reporting

Answers

The suggested answers are longer than what candidates are expected to give in the examination. The purpose of the suggested answers is meant to help candidates in their revision and learning. The suggested answers may not contain all the correct points and candidates should note that credit will be awarded for valid answers which may not fully covered in the suggested answers.

SECTION A – CASE QUESTIONS (Total: 50 marks)

Answer 1(a)

REPORT

Introduction

The Board preliminarily discussed the accounting impacts of various IT initiatives in a meeting in May 2022. After the meeting, Hosta signed an agreement with Kerria, the cloud-based applications vendor, in May 2022 to subscribe to its ERP application. The development of our website was also completed in June 2022. This paper provides an update to such accounting impacts to our financial statements.

1. Cloud computing arrangements

1.1 Evaluating whether the cloud computing arrangement contains a lease

HKFRS 16 *Leases* defines a lease as a contract, or part of a contract, that conveys the right to use an asset for a period of time in exchange for consideration.

The key issue in Hosta's cloud computing arrangement is to evaluate whether Hosta (as the customer) has the right to control the use of the identified asset (for example the servers and the software in this case).

HKFRS 16 explains that a contract conveys the right to control the use an asset if, throughout the period of use, the customer has both of the following:

- the right to obtain substantially all of the economic benefits from use of the identified asset; and
- the right to direct the use of that asset.

To assess whether the customer has the right to direct the use of that asset, the customer has to evaluate whether it has the right to direct how and for what purpose the asset is used throughout the period of use.

In this case, a right to receive future access to Kerria's software running on Kerria's cloud infrastructure does not in itself give Hosta any decision-making rights about how and for what purpose the software is used. Kerria would have those rights by deciding how and when to update or reconfigure the software. Hosta is not able to have the right to direct the use of the underlying asset (e.g. the software) and therefore does not have the right to control the use of the underlying asset. The contract does not contain a software lease.

1.2 Evaluating whether the cloud computing arrangement includes an intangible asset

HKAS 38 *Intangible Assets* defines an intangible asset as an identifiable non-monetary asset without physical substance. An asset is a resource controlled by the entity as a result of past events, and from which future economic benefits are expected to flow to the entity.

The critical issue in Hosta's cloud computing arrangement is whether Hosta can control the software. HKAS 38 specifies that an entity controls an intangible asset if it has the power to:

- obtain the future economic benefits flowing from the underlying resource; and
- restrict the access of others to those benefits.

In the past, Hosta purchased licences to various software to manage day-to-day business activities and such licences qualify as intangible assets. Under the cloud computing arrangement, Hosta is not allowed to run the software on its own hardware and Hosta does not have the contractual right to take possession of the software during the Subscription Period, it will be difficult to justify that Hosta has control over the software. The cloud computing arrangement does not include an intangible asset.

1.3 Conclusion

The contract that conveys to Hosta only the right to access to Kerria's applications software in the future is a service contract. Hosta receives the service (i.e. the access to the software) over the Subscription Period and the subscription fees payable to Kerria are to be expensed as incurred. However, if Hosta pays Kerria before it receives the service, that prepayment gives Hosta a right to future service and would be recognised as a prepaid asset by Hosta.

Hosta incurred additional implementation costs:

- Costs to select vendors

They are considered as research activities and the costs for these activities would be expensed as incurred.

- Costs of data migration and testing

As there is no underlying intangible asset that Hosta controls (based on the above analysis), such costs would be expensed as incurred.

Answer 1(b)

2. Development of Hosta's website

2.1 General recognition requirements in HKAS 38

HKAS 38 states that an intangible asset will be recognised if, and only if:

- it is probable that the expected future economic benefits that are attributable to the asset will flow to the entity; and
- the cost of the asset can be measured reliably.

The website arises from development and is an internally generated intangible asset. To assess whether an internally generated intangible asset meets the criteria for recognition, an entity classifies the generation of the asset into a research phase and a development phase.

No intangible asset arising from research will be recognised. In other words, expenditure on research will be recognised as an expense when it is incurred.

An intangible asset arising from development will be recognised if, and only if, an entity can demonstrate all of the following:

- the technical feasibility of completing the intangible asset so that it will be available for use or sale;
- its intention to complete the intangible asset and use or sell it;
- its ability to use or sell the intangible asset;
- how the intangible asset will generate probable future economic benefits;
- the availability of adequate technical, financial and other resources to complete the development and to use or sell the intangible asset;
- its ability to measure reliably the expenditure attributable to the intangible asset during its development.

2.2 Additional guidance in HK(SIC)-Int 32 *Intangible Assets – Website Costs*

HK(SIC)-Int 32 provides further guidance on how to account for website costs. HK(SIC)-Int 32 states that a website arising from development will be recognised as an intangible asset if, and only if, in addition to complying with the above general requirements in HKAS 38 for recognition and initial measurement, an entity can satisfy the requirements described above relating to development expenditures.

To apply the above principles relating to development expenditures to our case, the critical issue is whether Hosta can demonstrate how its website will generate probable future economic benefits. In accordance with HK(SIC)-Int 32, this criterion can be met when the website is capable of generating revenues, including direct revenues from enabling orders to be placed. This criterion, however, cannot be met, if the website developed is solely or primarily for promoting and advertising its own products and services. HKAS 38 (and supported by HK(SIC)-Int 32) states that expenditure on advertising and promotional activities will be recognised as an expense when it is incurred.

2.3 Conclusion

Hosta's customers will neither be able to join membership nor register for fitness classes through the website, the website is not capable of generating revenue. Hosta's website content includes the background and information of the company and is primarily for promoting and advertising its services, all the associated costs (HK\$50,000 + HK\$250,000) would be recognised as expenses when incurred.

Answer 2(a)(i)

Hosta

As Hosta has been using Unit WC for earning rentals, Unit WC was classified as an investment property on its statement of financial position and be recognised at cost upon purchase on 1 April 2021:

	<u>HK\$'000</u>	<u>HK\$'000</u>
Dr. Investment property	40,000	
Cr. Cash/Payable		40,000

Hosta adopts the fair value model in measuring its investment properties. As at 31 March 2022, Hosta recorded the following pair of journal entry:

	<u>HK\$'000</u>	<u>HK\$'000</u>
Dr. Loss in fair value change of investment property	500	
Cr. Investment property		500

On 1 April 2021, Hosta received all the rental payments from Jamesia in advance, which created a rental receipt in advance:

	<u>HK\$'000</u>	<u>HK\$'000</u>
Dr. Cash	1,180	
Cr. Rental receipt in advance		1,180

Hosta recognises lease payments from operating leases as income. For the year ended 31 March 2022, Hosta recorded the following pair of journal entry:

	<u>HK\$'000</u>	<u>HK\$'000</u>
Dr. Rental receipt in advance	590	
Cr. Rental income (HK\$1,180,000 x ½)		590

Answer 2(a)(ii)

Jamesia

As Jamesia settled all the lease payments at the commencement date, the initial measurement of the lease liability was nil. The cost of the right-of-use asset arising from this lease comprised the amount of the initial measurement of the lease liability and any lease payments made at or before the commencement date. On 1 April 2021, Jamesia recorded the following pair of journal entry:

	<u>HK\$'000</u>	<u>HK\$'000</u>
Dr. Right-of-use asset	1,180	
Cr. Cash		1,180

Jamesia applies the depreciation requirements in HKAS 16 *Property, Plant and Equipment* in depreciating the right-of-use asset. For the year ended 31 March 2022, Jamesia recorded the following pair of journal entry:

	<u>HK\$'000</u>	<u>HK\$'000</u>
Dr. Depreciation expense	590	
Cr. Accumulated depreciation – right-of-use asset (HK\$1,180,000 x ½)		590

Answer 2(a)(iii)

Group

To eliminate this intragroup lease transaction, the following pair of consolidation adjustment journal entry should be prepared:

	<u>HK\$'000</u>	<u>HK\$'000</u>
Dr. Rental income	590	
Dr. Rental receipt in advance	590	
Cr. Depreciation expense		590
Cr. Right-of-use asset		590

From the Group's perspective, Unit WC has been used as a studio to supply services and therefore was classified as a property, plant and equipment in the Group's statement of financial position. The following pairs of consolidation adjustment journal entry should be prepared to reclass Unit WC from an investment property to an owner-occupied property:

	<u>HK\$'000</u>	<u>HK\$'000</u>
Dr. Property, plant and equipment	40,000	
Cr. Loss in fair value change of investment property		500
Cr. Investment property		39,500

	<u>HK\$'000</u>	<u>HK\$'000</u>
Dr. Depreciation expense (HK\$40,000,000 ÷ 40)	1,000	
Cr. Accumulated depreciation/ PPE – Unit WC		1,000

Answer 2(b)

There has been no change in the subsidiary status in this further acquisition of 15% ordinary shares of Jamesia. HKFRS 10 *Consolidated Financial Statements* requires the acquirer to account for any difference between the amount by which the non-controlling interest is adjusted and the fair value of the consideration paid directly in equity but not in profit or loss as it should be treated as an equity transaction between the acquirer and the non-controlling interest.

The balance of non-controlling interest as at 1 April 2021 was:

		HK\$'000
Non-controlling interest as at the acquisition date (i.e. 1 April 2019)	(HK\$20,000,000 + HK\$16,000,000) x 15%	5,400
Proportionate share of change in retained earnings, from 1 April 2019 to 31 March 2021, to non-controlling interest	(HK\$25,050,000 – HK\$16,000,000) x 15%	1,357.5
Non-controlling interest as at 1 April 2021		<u>6,757.5</u>

Alternatively, the non-controlling interest as at 1 April 2021 could be reconciled as the proportionate share of the total net assets of Jamesia (HK\$45,050,000 x 15% = HK\$6,757,500).

As Jamesia has become a wholly-owned subsidiary after the further acquisition, the balance of non-controlling interest would be decreased by HK\$6,757,500. Comparing to the consideration HK\$6,000,000, the difference of HK\$757,500 (HK\$6,757,500 – HK\$6,000,000) was taken directly to equity to controlling interest crediting to other reserve. It should be noted that the goodwill would not be changed due to this further acquisition.

Answer 2(c)

Hosta Group

Consolidated statement of changes in equity for the year ended 31 March 2022

(HK\$'000)	Share capital	Retained earnings	Other reserve	Total	Non-controlling interest	Total
Balance, 1 April 2021	50,000	136,592.5 (W1)	-	186,592.5	6,757.5	193,350
Further acquisition of a subsidiary	-	-	757.5	757.5	(6,757.5)	(6,000)
Profits for the year	-	25,200 (W2)	-	25,200	-	25,200
Balance, 31 March 2022	<u>50,000</u>	<u>161,792.5</u>	<u>757.5</u>	<u>212,550</u>	-	<u>212,550</u>

(W1)	HK\$'000
Hosta	128,900
Jamesia	7,692.5
(HK\$25,050,000 – HK\$16,000,000) x 85%	
Retained earnings, 1 April 2021	<u>136,592.5</u>
(W2)	HK\$'000
Hosta	15,300
Jamesia	10,400
Adjusted with consolidated adjustment journal entries in Answer 2(a):	
Extra depreciation expense	(1,000)
Elimination of loss in fair value in investment property	<u>500</u>
Profit for the year	<u>25,200</u>

Answer 3

Company or a group of companies will need to meet the size tests for two consecutive reporting periods, before it will qualify for the reporting exemption in the third reporting period, regardless of its size in that period.

To determine whether the companies in the Group qualify for the reporting exemption, the evaluation will focus on the two years ended 31 March 2021.

The size tests under the Hong Kong Companies Ordinance refer to total annual revenue, total assets at the end of the reporting period and the average number of employees.

Hosta

A private company may qualify as a larger "eligible" private company if it does not exceed any two of the following:

- Total annual revenue of HK\$200 million
- Total assets of HK\$200 million at the end of the reporting period
- 100 employees

Hosta qualifies as a larger "eligible" private company for the two years ended 31 March 2021 and qualifies to adopt the simplified reporting framework under SME-FRF, as two of the three size tests were met:

- Total annual revenue for the years ended 31 March 2020 and 2021 was less than HK\$200 million; therefore, meeting the size test for revenue;
- Total assets as at 31 March 2020 and 2021 were greater than HK\$200 million; therefore failing to meet the size test for assets;
- Average employees for the years ended 31 March 2020 and 2021 were less than 100; therefore meeting the size test for number of employees.

Jamesia

A private company qualifies as a small private company if it does not exceed any two of the following:

- Total annual revenue of HK\$100 million
- Total assets of HK\$100 million at the end of the reporting period
- 100 employees

Jamesia qualifies as a small private company for the two years ended 31 March 2021 and qualifies to adopt the simplified reporting framework under SME-FRF, as all the three size tests were met:

- Total annual revenue for the years ended 31 March 2020 and 2021 was less than HK\$100 million; therefore meeting the size test for revenue;
- Total assets as at 31 March 2020 and 2021 were less than HK\$100 million; therefore meeting the size test for assets;
- Average employees for the years ended 31 March 2020 and 2021 were less than 100; therefore meeting the size test for number of employees.

Group

This is a mixed group, being a group comprising a mix of small private company and larger "eligible" private company. The relevant size tests for a mixed group depend on the status of the holding company in that group. If the holding company in that mixed group is a larger "eligible" private company, the aggregate amounts for the mixed group in total must not exceed two out of three size tests for a group of larger "eligible" companies.

As Hosta is a larger "eligible" private company, the evaluation will be based on the size tests for a group of larger "eligible" companies. The Group however fails two of the three size tests and therefore is not eligible to adopt the simplified reporting framework under SMF-FRF:

- Total aggregated assets as at 31 March 2020 and 2021 were greater than HK\$200 million; therefore failing to meet the size test for assets;
- Aggregate average employees for the years ended 31 March 2020 and 2021 were greater than 100; therefore failing the size test for number of employees.

* * * END OF SECTION A * * *

SECTION B – ESSAY / SHORT QUESTIONS (Total: 50 marks)

Answer 4

Inventories

I disagree with Ken's notion that it is a change in accounting estimate.

Under HKAS 2 para. 25, an entity shall use the same cost formula for all inventories having similar nature and use to the entity.

Change in cost formula from FIFO to weighted average is actually a change in accounting policy which would require retrospective application unless impracticable.

Techniques for measurement of the cost of inventories, such as the standard cost method or the retail method, may be used for convenience if the results approximate cost. Standard costs take into account normal levels of materials and supplies, labour, efficiency and capacity utilization. They are regularly reviewed and, if necessary, revised in the light of current conditions. [HKAS 2 para. 21]

There is no evidence that suggests standard cost being inappropriate but that will be subject to regular review.

Machineries

I agree with Ken that change in depreciation method is a change in accounting estimate. However, what he proposed might not be acceptable.

The depreciation method applied to an asset shall be reviewed at least at each financial year-end and, if there has been a significant change in the expected pattern of consumption of future economic benefits embodied in the asset, the method shall be changed to reflect the changed pattern. Such a change shall be accounted for as a change in an accounting estimate in accordance with HKAS 8. [HKAS 16 para. 61]

In this sense, it is correct to revisit the depreciation method and if there is a change it will be a change in accounting estimate.

However, under HKAS 16 para. 62A, a depreciation method that is based on revenue that is generated by an activity that includes the use of an asset is not appropriate. The revenue generated by an activity that includes the use of an asset generally reflects factors other than the consumption of the economic benefits of the asset. The price component of revenue may be affected by inflation, which has no bearing upon the way in which an asset is consumed.

Having said that, KL may still consider if units of production method would be appropriate in reflecting the expected pattern of consumption of the future economic benefits embodied in the asset. [HKAS 16 para. 62]

Current tax

I agree with Ken that this could be a change in accounting estimate.

The under-provision of HK 5 million was calculated based on information that already existed at the end of the year ended 31 December 2020, only it was discovered when the IRD issued the notice of assessment in November 2021.

Even though the amount involved is material, there is insufficient information to indicate whether the treatment arises from a genuine error.

If judgement was involved in the first place in classifying the gain on disposal as non-taxable, and IRD's issuance of the notice of assessment indicates changes in facts and circumstances or new information that can result in a reassessment, this could then be a change in accounting estimate.

If it turns out the IRD's notice of assessment is an indication of KL's misinterpretation of the tax requirement in their calculation, and hence it is an error in classifying the gains on disposal as non-taxable, KL should correct the material prior period errors retrospectively in the first set of financial statements authorised for issue after their discovery. They should restate the comparative amounts for the prior period(s) presented in which the error occurred (i.e. year ended 31 December 2020). [HKAS 8 para. 42(a)]

They shall present a third statement of financial position as at the beginning of the preceding period. If restatement of comparative amounts is required as the retrospective restatement has a material effect on the information in the statement of financial position at the beginning of the preceding period.

Answer 5(a)

Under HKAS 21 *The Effects of Changes in Foreign Exchange Rates* ("HKAS 21") para. 8:

Monetary items are units of currency held and assets and liabilities to be received or paid in a fixed or determinable number of units of currency.

Net investment in a foreign operation is the amount of the reporting entity's interest in the net assets of that operation.

Foreign operation is an entity that is a subsidiary, associate, joint arrangement or branch of a reporting entity, the activities of which are based or conducted in a country or currency other than those of the reporting entity.

Based on HKAS 21 para. 15, an entity may have a monetary item that is receivable from or payable to a foreign operation. An item for which settlement is neither planned nor likely to occur in the foreseeable future is, in substance, a part of the entity's net investment in that foreign operation, and is accounted for in accordance with paragraphs 32 and 33.

According to HKAS 21 para. 28, exchange differences arising on translating monetary items at rates different from those at which they were translated on initial recognition during the period shall be recognised in profit or loss in the period in which they arise, except as described in para. 32.

Under HKAS 21 para. 32, exchange difference arising on a monetary item that forms part of a reporting entity's net investment in a foreign operation shall be recognised in profit or loss in the separate financial statements of the reporting entity or the individual financial statements of the foreign operation, as appropriate.

In the financial statements that include the foreign operation and the reporting entity (e.g. consolidated financial statements when the foreign operation is a subsidiary), such exchange differences shall be recognised initially in other comprehensive income and reclassified from equity to profit or loss on disposal of the net investment in accordance with para. 48. [HKAS 21.32]

Under HKAS 21 para. 39, the results and financial position of an entity whose functional currency is not the currency of a hyperinflationary economy shall be translated into a different presentation currency using the following procedures:

- (a) assets and liabilities for each statement of financial position presented shall be translated at the closing rate at the date of that statement of financial position;
- (b) income and expenses for each statement presenting profit or loss and other comprehensive income shall be translated at the exchange rate at the dates of the transactions; and
- (c) all resulting exchange differences shall be recognised in other comprehensive income.

Company level financial statements of IPL

In the company level financial statements of IPL, the HKD 60 million intercompany loan payable to XGL is a monetary item denominated in foreign currency.

At 31 March 2022, the HKD denominated intercompany loan should be translated at the closing rate on that day by virtue of requirements under HKAS 21 para. 28.

Based on the requirements under HKAS 21 para. 28 and 32, exchange difference arising on such intercompany payable shall be recognised in profit or loss in the company level financial statements of IPL.

Company level financial statements of XGL

The functional currency and presentation currency of XGL is HKD and the intercompany loan receivable is denominated in HKD too.

Accordingly, no translation is necessary and no exchange differences would be recognised.

Consolidated financial statements of XGL

XGL is a Hong Kong entity with HKD being its functional currency whereas IPL is its subsidiary operating in mainland China and RMB is its functional currency. So IPL is a foreign operation to XGL.

Given the loan is meant for strategic investment and is not expected to be settled any time soon and XGL has other sources of cash, it appears that settlement is neither planned nor likely to occur in the foreseeable future. Accordingly, the intercompany receivable is in substance a part of XGL's net investment in foreign operation following HKAS 21 para. 15.

In XGL's consolidated financial statements, the exchange differences arising from the intercompany loan as recorded by IPL shall be recognized in /transfer to other comprehensive income. [HKAS 21.32]

I disagree with management's comment. The exchange difference will not be eliminated even on consolidation, notwithstanding the fact that it is denominated in the functional currency of XGL, as the Group as a whole would still be subject to the exposure in foreign currency by its Mainland China operations.

Answer 5(b)

As a result of climate change, there were unprecedented severe rainstorms that caused flooding to XGL's headquarters.

This could cause damage to the building and potentially give rise to indicators of impairment.

In that case, XGL Group will need to assess if the carrying amount of the headquarters would need to be written down to the recoverable amount, which is the higher of value in use and fair value less cost of disposal following the requirements under HKAS 36 *Impairment of Assets*.

If such floods are expected to become the norm as a result of climate change, management would also need to reassess the useful life of the compound and whether depreciation needs to be accelerated. Residual values of the property would also need to be reassessed in view of the latest developments.

As a result of the flood, it appears likely that some of the goods of XGL would be soaked and would need to be assessed if they need to be written down to their net realizable value according to HKAS 2 *Inventories*.

There might be a possibility to assess whether there is a need to recognise onerous contracts if the group becomes unable to fulfil some of its customers' orders as a result of the flood.

Repair and maintenance costs might increase as a result of climate change which could impact the group's bottom line, although provision for future losses should not be recorded.

The value of collaterals (which could be the building/ inventories) might be impacted and affect the bank's assessment of the group's credit risks, which might lead to the breach of covenants/ recalling of loans thus impacting the current/ non-current classification of the borrowings.

Perhaps a little more indirectly, management would also need to consider how climate change affects the business of its customers and the general business environment, which might have a bearing on the inputs to the calculation of expected credit losses.

With countries signing to net-zero commitments there are uncertainties on how government policies and the general business environment would be affected, and whether some of the technologies/materials XGL uses in its production need to be changed, or whether the Group would be subject to additional liabilities.

Impact of climate change would be unpredictable and if management believe that there is significant risk of resulting in material adjustment to the carrying amount of assets and liabilities within the next financial year, the entity shall disclose information about the assumptions it makes about the future, and other major sources of estimation uncertainty at the end of the reporting period according to HKAS 1 *Presentation of Financial Statements* para. 125.

The Group would also need to consider if this would introduce risk to the Group's going concern especially when IPL is a significant subsidiary of the Group. Providers of finance might have second-thoughts when extending financing to the Group in view of the impact of climate change on the company's business. And with the damage to the headquarters this might bring significant disruptions to the Group's businesses. Even if the Group's going concern is not affected, IPL might still be so significantly affected that it could lead to the need for disclosures.

(Other valid answers are acceptable)

Answer 6

Following HKAS 1 *Presentation of Financial Statements* para. 69, an entity shall classify a liability as current when:

- (a) it expects to settle the liability in its normal operating cycle;
- (b) it holds the liability primarily for the purposes of trading;
- (c) the liability is due to be settled within twelve months after the reporting period; or
- (d) it does not have an unconditional right to defer settlement of the liability for at least twelve months after the reporting period.

An entity shall classify all other liabilities as non-current.

Under HKAS 1 para. 74, when an entity breaches a provision of a long-term loan arrangement on or before the end of the reporting period with the effect that the liability becomes payable on demand, it classifies the liability as current, even if the lender agreed, after the reporting period and before the authorization of the financial statements for issue not to demand payment as a consequence of the breach.

Under HKFRS 9 *Financial Instruments* para. 3.3.2, a substantial modification of the terms of an existing financial liability or part of it shall be accounted for as an extinguishment of the original financial liability and the recognition of a new financial liability. [HKFRS 9 para. 3.3.2]

According to HKFRS 9 para. B3.3.6, the terms are substantially different if the discounted present value of the cash flows under the new terms, including any fees paid net of any fees received and discounted using the original effective interest rate, is at least 10% different from the discounted present value of the remaining cash flows of the original liability. If an exchange of debt instruments or modification of terms is accounted for as an extinguishment, any costs or fees incurred are recognised as part of the gain or loss on the extinguishment. If the exchange or modification is not accounted for as an extinguishment, any costs or fees incurred adjust the carrying amount of the liability and are amortised over the remaining term of the modified liability.

Following HKFRS 9 para. 3.3.3, the difference between the carrying amount of the financial liability extinguished or transferred to another party and the consideration paid, including any non-cash assets transferred or liabilities assumed, shall be recognised in profit or loss.

As of 31 March 2022

I disagree with Teddy's comment that no adjustments/ disclosures are necessary in TGL's financial statements as of 31 March 2022.

By virtue of HKAS 1 para. 69 and 74, the bond would need to have been classified as current because it becomes repayable on demand when the covenant was breached on 31 March 2022, regardless of the fact that the terms of the bond were modified before the financial statements were authorised for issue.

TGL also did not have the unconditional right to defer settlement of the liability for at least twelve months after the reporting period as of 31 March 2022.

Under HKFRS 7 *Financial Instruments: Disclosures* para. 18 and 19, details of default, carrying amount of the liability and description of whether the breach was remedied would need to have been disclosed.

Upon modification of terms of the bond in May 2022

I disagree with Teddy's unreserved once-and-for-all comment that the transaction costs would be charged to profit or loss with continuation of accounting for the bond at the revised interest rate.

The bond would have been reclassified as non-current liabilities upon modification as the term has been extended for 5 years.

There is not sufficient information in the fact pattern whether the modification of the terms would be considered to be "substantially different", leading to the transaction being accounted for as an extinguishment.

The fees to lawyers were directly attributable incremental transaction costs.

If the modification of terms is substantial and therefore the transaction is accounted for as an extinguishment of the original financial liability and the recognition of a new financial liability, any costs or fees incurred, i.e. the fees to lawyers are recognised as part of the gain or loss on the extinguishment. Any difference between the carrying amount of the financial liability extinguished and the new liability assumed shall be recognised in profit or loss.

If the modification of terms is not substantial, then the amortised cost of the liability is recalculated at that point to reflect the actual and revised estimated cash flows. The resulting gains or losses are recognised in profit or loss.

The revised amortised cost of the financial liability is recalculated by discounting the revised estimated future cash flows at the instrument's original effective interest rate. [HKFRS 9.B5.4.6]

Fees to the lawyers incurred would adjust the carrying amount of the liability and are amortised over the remaining term of the modified liability.

* * * END OF EXAMINATION PAPER * * *